

**Subject Description Form**

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| <b>Subject Code</b>                              | AF4228                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Subject Title</b>                             | Auditing and Assurance                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Credit Value</b>                              | 3                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>Level</b>                                     | 4                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>Normal Duration</b>                           | 1-semester                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>Pre-requisite / Co-requisites</b>             | <b>Pre-requisites:</b> Intermediate Accounting 1 (AF3110) and Introduction to Business Law (AF2504) or Business Law (AF3513) and Accounting Information Systems (AF3211)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Objectives</b>                                | The subject enables students to have professional skills and knowledge in auditing and assurance, communicate effectively in English, identify and resolve ethical issues as they arise generally and in the business setting of auditing, and apply the relevant latest technologies in the auditing process.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>Subject Learning Outcomes</b>                 | Upon completion of the subject, students will be able to:<br>a. understand the demand for auditing, its objectives and values (BBA Outcome 14);<br>b. analyze audit and assurance situations and problems, including ethical issues (BBA Outcome 14);<br>c. understand the application of technology such as Data Analytics, AI and other relevant technologies in the auditing process (BBA Outcome 14).                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| <b>Subject Synopsis/<br/>Indicative Syllabus</b> | <p><b>Auditing and Assurance</b></p> <p>Nature and objective of auditing and assurance services. Types of audit. Auditor independence and professional ethics. Responsibilities and legal liabilities of auditors. Auditing standards and audit quality control.</p> <p><b>Audit planning, Materiality, Audit Risk, Audit Evidence</b></p> <p>Engagement planning and its importance. The assessment of materiality and audit risk. The audit-risk model. Judgmental sampling and evidential matters. Types of audit tests.</p> <p><b>Internal Control</b></p> <p>Concept of internal control and components of internal control systems. Effectiveness of internal control system on audit strategies and audit testing.</p> <p><b>Auditing the Financial Statements</b></p> <p>Audit methods and approaches. Assertions and the audit of the transactions and balances. Audit of sales and collection, purchases and payment, and inventories etc. Performing analytical review and completing the financial statement audit. Application of technology such as Data Analytics, AI and other relevant technologies in the auditing process.</p> <p><b>Reporting</b></p> <p>Audit qualifications and different types of audit reports.</p> |

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| <b>Teaching/Learning Methodology</b>                                   | <p>The three hours of seminar per week will be used flexibly by the instructor. Concepts and techniques of audit and assurance will be introduced first while short questions, problems and cases will be discussed later in the seminar and/or assigned as homework to reinforce students' understanding and application of concepts and techniques to practical situations.</p> <p>Lectures will incorporate blended learning approaches, including flipped videos and other classroom activities in order to create an active learning environment.</p> <p>Group assignment(s) / presentation will be assigned to further develop students' critical thinking, teamwork, and presentation skills.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                |             |                                                                                |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
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| <b>Assessment Methods in Alignment with Intended Learning Outcomes</b> | <table border="1" style="width: 100%; border-collapse: collapse; margin-bottom: 10px;"> <tr> <th style="width: 30%;">Specific assessment methods/tasks</th><th style="width: 10%;">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr> <tr> <td></td><td></td><td style="text-align: center;">a</td><td style="text-align: center;">b</td><td style="text-align: center;">c</td><td></td><td></td><td></td></tr> <tr> <td><b>Continuous Assessment</b></td><td style="text-align: center;"><b>50%</b></td><td></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>1. Class attendance and participation</td><td style="text-align: center;">10%</td><td style="text-align: center;">√</td><td style="text-align: center;">√</td><td style="text-align: center;">√</td><td></td><td></td><td></td></tr> <tr> <td>2. Assignment(s) / Presentation</td><td style="text-align: center;">20%</td><td style="text-align: center;">√</td><td style="text-align: center;">√</td><td style="text-align: center;">√</td><td></td><td></td><td></td></tr> <tr> <td>3. Mid-term test</td><td style="text-align: center;">20%</td><td style="text-align: center;">√</td><td style="text-align: center;">√</td><td></td><td></td><td></td><td></td></tr> <tr> <td><b>Final Examination</b></td><td style="text-align: center;"><b>50%</b></td><td style="text-align: center;">√</td><td style="text-align: center;">√</td><td style="text-align: center;">√</td><td></td><td></td><td></td></tr> <tr> <td><b>Total</b></td><td style="text-align: center;"><b>100 %</b></td><td colspan="6"></td></tr> </table> <p>To reflect the significant technology content in this subject, 10% (or more) of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.</p> <p>To pass this subject, students are required to obtain Grade D or above in <b><u>both</u></b> the Continuous Assessment and Examination components.</p> | Specific assessment methods/tasks                                              | % weighting | Intended subject learning outcomes to be assessed (Please tick as appropriate) |         |                             |  |                                                     |         |                                      |         | a                                 | b               | c |  |  |  | <b>Continuous Assessment</b> | <b>50%</b> |  |  |  |  |  |  | 1. Class attendance and participation | 10% | √ | √ | √ |  |  |  | 2. Assignment(s) / Presentation | 20% | √ | √ | √ |  |  |  | 3. Mid-term test | 20% | √ | √ |  |  |  |  | <b>Final Examination</b> | <b>50%</b> | √ | √ | √ |  |  |  | <b>Total</b> | <b>100 %</b> |  |  |  |  |  |  |
| Specific assessment methods/tasks                                      | % weighting                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Intended subject learning outcomes to be assessed (Please tick as appropriate) |             |                                                                                |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
|                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | a                                                                              | b           | c                                                                              |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| <b>Continuous Assessment</b>                                           | <b>50%</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                |             |                                                                                |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| 1. Class attendance and participation                                  | 10%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | √                                                                              | √           | √                                                                              |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| 2. Assignment(s) / Presentation                                        | 20%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | √                                                                              | √           | √                                                                              |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| 3. Mid-term test                                                       | 20%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | √                                                                              | √           |                                                                                |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| <b>Final Examination</b>                                               | <b>50%</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | √                                                                              | √           | √                                                                              |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| <b>Total</b>                                                           | <b>100 %</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                |             |                                                                                |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| <b>Student Study Effort Required</b>                                   | <table border="1" style="width: 100%; border-collapse: collapse;"> <tr> <td style="width: 70%;">Class contact:</td><td style="width: 30%;"></td></tr> <tr> <td>▪ Seminars</td><td style="text-align: center;">39 hrs.</td></tr> <tr> <td>Other student study effort:</td><td></td></tr> <tr> <td>▪ topics and cases for presentation and discussions</td><td style="text-align: center;">26 hrs.</td></tr> <tr> <td>▪ assignments, readings and revision</td><td style="text-align: center;">70 hrs.</td></tr> <tr> <td><b>Total student study effort</b></td><td style="text-align: center;"><b>135 hrs.</b></td></tr> </table>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Class contact:                                                                 |             | ▪ Seminars                                                                     | 39 hrs. | Other student study effort: |  | ▪ topics and cases for presentation and discussions | 26 hrs. | ▪ assignments, readings and revision | 70 hrs. | <b>Total student study effort</b> | <b>135 hrs.</b> |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| Class contact:                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                |             |                                                                                |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| ▪ Seminars                                                             | 39 hrs.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                |             |                                                                                |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| Other student study effort:                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                |             |                                                                                |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| ▪ topics and cases for presentation and discussions                    | 26 hrs.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                |             |                                                                                |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| ▪ assignments, readings and revision                                   | 70 hrs.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                |             |                                                                                |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |
| <b>Total student study effort</b>                                      | <b>135 hrs.</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                |             |                                                                                |         |                             |  |                                                     |         |                                      |         |                                   |                 |   |  |  |  |                              |            |  |  |  |  |  |  |                                       |     |   |   |   |  |  |  |                                 |     |   |   |   |  |  |  |                  |     |   |   |  |  |  |  |                          |            |   |   |   |  |  |  |              |              |  |  |  |  |  |  |

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| <b>Reading List and References</b> | <p>Johnson, R.N. and L.D. Wiley, <i>Auditing: A Practical Approach with Data Analytics</i>, Wiley, (latest edition)</p> <p>Gay, G. and R. Simnett, <i>Auditing &amp; Assurance Services in Australia</i>, McGraw Hill (latest edition)</p> <p>Whittington, R. and P. Kurt, <i>Principles of Auditing &amp; Other Assurance Services ISE</i>, McGraw Hill (latest edition)</p> <p>Moroney, R., F. Campbell and J. Hamilton, <i>Auditing: A Practical Approach</i>, Wiley, (latest edition)</p> <p>Leung, P., P. Coram, B.J. Cooper and P. Richardson, <i>Modern Auditing &amp; Assurance Services</i>, Wiley (latest edition)</p> <p>The Hong Kong Standards on Auditing and Code of Ethics for Professional Accountants issued by the Hong Kong Institute of Certified Public Accountants.</p> <p>(Available at the HKICPA website: <a href="http://hkicpa.org.hk">Members' Handbook (hkicpa.org.hk)</a>)</p> |
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